Case 19-G-0309: Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Case 19-G-0310: Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

Case 18-M-0270: Petition For Approval Pursuant To Public Service Law Section 113(2), Of A Proposed Allocation Of Certain Tax Refunds Between KeySpan Gas East Corporation d/b/a National Grid And Ratepayers

Summary of Joint Proposal

The Joint Proposal proposes three-year rate plans for The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies) for the term beginning April 1, 2020 and ending March 31, 2023. Rate Year (RY) 1 is April 1, 2020 through March 31, 2021; RY2 is April 1, 2021 through March 31, 2022; and RY3 is April 1, 2022 through March 31, 2023. In addition, the Joint Proposal also proposes terms[1] that would apply in a Stayout Period that would begin on April 1, 2023 and end on the earlier of March 31, 2024 or when the Commission next sets base delivery rates for the Companies.

Revenue Increases: The Joint Proposal sets forth overall annual revenue requirement changes, offset by applying deferral credits, as follows:

	RY1		**RY2**		**RY3**	
	(Millions $)	% Total Revenues	(Millions $)	% Total Revenues	(Millions $)	% Total Revenues
KEDNY	$0	0	$40.610	2.0%	$41.868	2.0%
KEDLI	$0	0	$23.342	1.8%	$24.910	1.8%

To achieve these outcomes, KEDNY and KEDLI will amortize approximately $94.9 million and $4.8 million of regulatory liabilities (deferred credits), respectively, over the term of the rate plans, including $41 million from the resolution of enforcement actions,[2] which will be used to offset the cost of the Companies' energy efficiency and demand response programs.

Return on Equity (ROE)/Capital Structure: The Joint Proposal proposes an 8.8% ROE and a ratemaking capital structure that reflects a common equity component of 48% for both Companies. The rate plans propose that customers will share earnings in excess of 9.3%.

[1] The terms applicable to the Stayout Period do not include any changes in revenue requirement. However, certain credits will not continue during the Stayout Period.

[2] See, the Commission's March 18, 2021 "Order Adopting Settlement Agreement" in Cases 17-G-0317 and 18-G-0094 and April 15, 2021 "Order Adopting Second Amendment to Settlement Agreement" in Case 19-G-0678.

Make Whole Provision: Because the Joint Proposal is being submitted in RY2, the Joint Proposal proposes a make whole provision to allow the Companies to recover the revenue shortfall resulting from the extension of the suspension period such that the Companies are restored to the same financial position they would have been in had rates gone into effect on April 1, 2020.

Revenue Allocation/Rate Design:

- **Firm Service:** For the firm service classes, the Joint Proposal recommends no increases to the minimum monthly charges. Beginning in RY2, the Joint Proposal recommends rates designed in a manner that encourages energy efficiency by including more of the increase in the last rate block. In connection with this change, the Companies will pursue an outreach and education program to inform customers of the rate design change, potential impacts, and target energy efficiency programs for high usage customers.
- **Non-Firm Demand Response Service:** To encourage customers to remain on or switch to interruptible service, the Joint Proposal recommends Tier 1 and Tier 2 interruptible services that will have volumetric delivery rates set at discounts of 50 percent and 60 percent, respectively, below the tail block volumetric rate of the applicable equivalent firm service class.

Demand Capacity Surcharge Mechanism: To effectuate the recovery of costs associated with incremental demand response, energy efficiency, and Long-Term Capital Capacity Projects identified in Case 19-G-0678 as solutions to address the gap between the Companies' supply of natural gas and the forecast of customers' peak firm demand, the Joint Proposal proposes that the Companies be permitted to implement a surcharge beginning in RY2.

Energy Efficiency: The Companies' annual Energy Efficiency costs authorized in Case 18-M-0084 will be collected in base rates. The Companies will be permitted to recover any other approved Energy Efficiency costs through the Demand Capacity Surcharge Mechanism, including any additional or accelerated Commission-approved New Efficiency:New York ("NE:NY")budget (or other Commission-approved energy efficiency programs) not reflected in base rates.

Gas Safety and Reliability Surcharge: The Gas Safety and Reliability Surcharge will continue to allow the Companies to proactively replace LPP and repair leaks, but will not permit the Companies to earn a positive revenue adjustment for LPP replacement above the proposed targets.

Capital Investment: The rates proposed in the Joint Proposal reflect the following levels of capital investments during the term of the rate plans:

	RY1	RY2	RY3
KEDNY	$582.514 M	$734.397 M	$684.401 M
KEDLI	$368.539 M	$491.979 M	$447.124 M

- **Non-Pipeline Alternatives ("NPAs"):** Where possible, the Companies will evaluate possible NPAs before proceeding with new construction or replacement projects. NPAs could include geothermal heating options (discussed below) and non-infrastructure solutions.

- **Long-Term Capital Capacity Projects:** The Companies will be permitted to recover Long-Term Capital Capacity Projects identified in the Joint Proposal through the Demand Capacity Surcharge Mechanism. These projects will be subject to an additional independent assessment process, and recovery is conditioned upon the Companies achieving metric targets for energy efficiency, demand response, non-pipe, third party solutions, electrification and NPAs for leak prone pipe.
- **MRI Phase 5:** Work on MRI Phase 5 has been halted. If KEDNY decides to pursue Phase 5 of the MRI Project, it must file a petition seeking approval to recover the costs of the project.

Gas Operations Items:

- **Relocation of Inside Gas Meters:** KEDNY and Staff will use good faith efforts to meet with NYC on a periodic basis to discuss issues related to relocating inside meters in NYC and work to reach a mutually agreeable resolution.
- **Additional Gas Safety Programs:** The Joint Proposal proposes that the Companies establish the following gas safety programs in RY2: a Pipeline Safety Management and Damage Prevention Advisor Program; an Instrumentation and Regulation Training and Test Lab; Gas Control Standard Operating Procedure Training; Field Evaluation Training; and a Plastic Fusion in Process Inspection Program.

Information Technology: The rates proposed in the Joint Proposal reflect incremental IT capital investment of $150 million in each of the RYs. These costs do not include those associated with the Customer Information System (CIS).

- **CIS:** The Companies may file a petition with the Commission setting forth their proposed CIS project and seeking authorization to defer CIS-related developmental costs.

Gas Business Enablement (GBE): For purposes of determining the Companies' allocable shares of GBE Program costs, the total Service Company costs, comprised of capital and project operating expenses related to capital expenses for the GBE Program will be capped at $515.5 million for the work identified by the Companies to be conducted through Rate Year Three.

Future of Heat: The Joint Proposal proposes that the Companies will operate their gas networks with the objective of reducing billed gas usage compared to forecasted usage, normalized for temperatures, over the term of the rate plans and provides for new programs and initiatives to promote long-term emissions reductions from the gas networks.

- **Marketing:** The Companies are not currently conducting marketing for new gas connections and conversions, including any customer rebates for heating oil-to-gas conversions or new gas customers, and commit to not resume gas marketing through the term of the rate plans.
- **Alternate Heating Options:** The Companies commit to developing educational materials, in coordination with their energy efficiency and demand response programs, that will inform customers of alternative heating options, including air- and ground-source heat pumps and district geothermal heating systems.
- **Newtown Creek Project:** KEDNY's Newtown Creek project, located at the NYC Newtown Creek Wastewater Treatment Plant, will capture the biogas generated from the

wastewater plant, filter it through a purification system, and upgrade it to pipeline quality natural gas. The gas can then be odorized and injected into KEDNY's distribution system.

- **Hydrogen Blending Research:** The Companies will conduct a hydrogen blending study to consider the actions necessary to prepare the gas system for the introduce of hydrogen. A grant from NYSERDA will fund a portion of the study.
- **Geothermal Non-Pipe Alternatives**: The Companies will support the deployment of geothermal heating as a non-pipe alternative in their service territories, including by identify instances where planned leak prone pipe replacement projects could be avoided by deploying shared geothermal loops or individual ground- or air-source heat pumps to serve affected customers.
- **CLCPA Study:** Prior to their next base rate filings, but in no event later than the end of Rate Year Three, the Companies will complete a report that evaluates how the Companies' businesses may evolve in the future to support the emission reduction and renewable energy goals of the CLCPA, NYC's Local Law 97, and any emission reduction goals the Companies have independently adopted.
- **Depreciation Study:** The Companies will complete and file, at least three months before their next base rate filings, a study on the potential depreciation impacts of climate change policies and laws – including the CLCPA and Local Law 97 – and the statewide GHG emission limits established therein – on their gas assets.
- **Additional Reporting Requirements** including reporting on new gas connections costs and **commitments for the next rate filing**, including a climate assessment of investments and initiatives.

Earnings Adjustment Mechanisms: The Joint Proposal proposes adoption of three EAMs: (1) Energy Efficiency Share The Savings, (2) Low and Moderate Income Energy Efficiency and (3) Gas Peak Reduction.

Reconciliations: The Joint Proposal includes a number of reconciliations such as Energy Affordability Program, SIR expense, and Property Tax expenses, Negative and Positive Revenue Adjustments, Net-plant expenses, and City/State Construction capital costs.

SIR Costs: The Joint Proposal provides for annual reconciliation of SIR costs and, for KEDNY only, a continuation of an available SIR surcharge to accommodate the variable costs associated with SIR projects in New York City. Similar to what is currently applicable, the surcharge would be triggered if the reconciliation between the rate allowance and actual costs exceeds $25M (on a cumulative basis), and is capped at 2% of KEDNY's prior year aggregate revenues.

Customer Service Quality Program: The Joint Proposal continues and updates the following customer service metrics: PSC Complaint Rate, the Residential Customer Satisfaction Survey, adjusted customer bills, and telephone answer response within 30 seconds. The Joint Proposal proposes total potential Negative Revenue Adjustments (NRAs) of $9.90 million (KEDLI) and $11.7 million (KEDNY) per year.

Gas Safety Performance Metrics: The Joint Proposal continues and updates existing metrics: LPP removal; leak management; damage prevention; emergency response; and gas safety

regulations performance. The Joint Proposal includes total potential NRAs of 150 basis points for each Company.

Customer Initiatives:

- **E-Deferred Payment Agreement ("E-DPA") Reports:** The Companies will permit residential customers to negotiate E-DPAs over the telephone, with the resulting E-DPA provided to the customer for review and electronic signature via email or other electronic means.
- **Energy and Affordability Program ("EAPs"):** The annual rate allowances for KEDNY and KEDLI EAPs increased to $38.45 million and $6.75 million, respectively. The Companies' EAPs and discount calculations are subject to modification in Cases 14-M-0565 or 20-M-0266.
- **EAP File Match:** The Companies agree to increase the frequency of their file match with NYC to four times per year and to collaborate with Nassau and Suffolk Counties and the Office of Temporary Disability Assistance in an effort to expand file matching in those counties.
- **Reconnection Fees:** KEDNY will waive all reconnection fees for EAP participants as KEDLI does now.
- **Energy Efficiency Program Participation:** The Companies will offer their energy efficiency programs to non-firm customers and Baseload Distribution Generation Program customers.
- **Economic Development Programs:** Annual economic development funding will be set at $2.25 million for KEDNY and $2.75 million for KEDLI, which will be largely funded through the amortization of prior economic development deferral credits. During the term of the rate plans, both firm and non-firm non-residential customers will be eligible to participate in the Companies' economic development grant and discount programs.